Axon Enterprise (AXON)

Unmatched Public Safety Ecosystem

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*Unmatched Public Safety Ecosystem. Vertically integrated hardware (TASER, Body 4) feeding a high-margin software suite with 126% net revenue retention and $15.1B in future contracted bookings [10-Q Q2 FY26]. Growth Is Bulletproof, Profitability Is Not. Ten straight quarters of 30%+ revenue growth (+35.3% in Q2), but $590-620M of SBC keeps GAAP margins negative and FCF near breakeven on an inventory build [10-Q Q2 FY26]. Derating Created the Setup. Down 38% from highs to $390 [Mkt 17-Oct-26], the stock now trades near peer multiples. Our $609.50 DCF base implies ~56% upside; consensus targets sit near $718 [Cons]. Our framework screens it as a **Buy** with a $571.79 blended target, 47% above the current price.*

BUY	$571.79	+47%	$390.29
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

Unmatched Public Safety Ecosystem. Vertically integrated hardware (TASER, Body 4) feeding a high-margin software suite with 126% net revenue retention and $15.1B in future contracted bookings [10-Q Q2 FY26].

Executive summary

Growth Is Bulletproof, Profitability Is Not. Ten straight quarters of 30%+ revenue growth (+35.3% in Q2), but $590-620M of SBC keeps GAAP margins negative and FCF near breakeven on an inventory build [10-Q Q2 FY26].

Derating Created the Setup. Down 38% from highs to $390 [Mkt 17-Oct-26], the stock now trades near peer multiples. Our $609.50 DCF base implies ~56% upside; consensus targets sit near $718 [Cons].

$904.4M	$15.1B	$1.6B	126%	26.8%	$29.4M
REVENUE (Q2 FY26)	FUTURE CONTRACTED BOOKINGS	ANNUAL RECURRING REVENUE	NET REVENUE RETENTION	ADJ EBITDA MARGIN	GAAP NET INCOME

The moat is structural

AI Era Plan adoption grew ~700% YoY

Three scenarios make the valuation range explicit

The DCF values Axon Enterprise across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	TARGET	UPSIDE
Bear (Conservative)	25%	**$288.89**	-26%
Base	50%	**$609.50**	+56%
Bull	25%	**$779.28**	+100%

Bear ($288.89, -26%): Growth disappoints and multiples compress; the $288.89 target marks the downside case.

Bull ($779.28, +100%): Execution compounds and the multiple rerates; the $779.28 target marks the upside case.

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The probability-blended target implies +47% upside

Blended target: $571.79 per share

A 25% Bear / 50% Base / 25% Bull weighting implies +47% upside from the $390.29 reference price.

$571.79

BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a ten-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

P/E (fwd) 37.0x [Mkt 17-Oct-26] DCF Base $609.50 [Mkt 17-Oct-26] PEG 1.5 [Mkt 17-Oct-26] DCF implies ~56% upside after the 38% derating. Forward earnings still price high growth; GAAP earnings are near zero.

Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $571.79 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

AI Era Plan adoption grew ~700% YoY [10-Q Q2 FY26]

Dedrone counter-drone at $100M quarterly run-rate; Platform Solutions +123% [10-Q Q2 FY26]

FY26 revenue guide raised to 32-34% (~$3.7B) on $15.1B future contracted bookings [8-K guid]

What to monitor

Nov 3, 2026. Q3 FY26 Earnings (Two-Sided): Test of hardware margins against the memory-cost and tariff warning; 11th straight 30%+ quarter on the line.

2H 2026 / 2027. TASER 10 Capacity Expansion (Positive): Capex ramp to fulfill the $15.1B backlog, subsequently driving high-margin software attach.

2026-27. Dedrone / Counter-Drone (Positive): $100M quarterly run-rate; Platform Solutions revenue up 123% YoY.

$904.4M	$15.1B	$1.6B	126%
REVENUE (Q2 FY26)	FUTURE CONTRACTED BOOKINGS	ANNUAL RECURRING REVENUE	NET REVENUE RETENTION

Financial summary

YEAR	REVENUE	GROSS PROFIT	NET INCOME

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2025	$2.8B	N/A	$125M
2024	$2.1B	N/A	$377M
2023	$1.6B	$955M	$176M
2022	$1.2B	$726M	$147M

Key risks

Supply Chain & Tariffs. Global supply chain disruptions and international tariffs threaten hardware gross margins and physical unit capacity; management warned Q3 margins face pressure from memory costs with no tariff refunds yet. [10-K FY25]

Stock-Based Compensation. Stock-based compensation guided at $590-620M in 2026 creates massive equity dilution and keeps GAAP operating margins negative. [10-K FY25]

Convertible Overhang. The September 2026 $1B 0% convertible notes due 2031 added leverage and future dilution overhang, and the stock has traded heavy since the offering. [Cons]

Investment view

A Q3 FY26 beat showing the margin warning was temporary would lift Trend and Valuation. Conversely, a guide cut, further SBC escalation, or a drop in net revenue retention would break the growth narrative and compress multiples again.

Buy. The $571.79 blended target implies +47% upside, balancing the $288.89 / $609.50 / $779.28 Bear / Base / Bull targets.

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Upcoming catalysts

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